Quiz 3 — Short Answer

SID-50102 | ECON2001 Quiz 3

1. Question 1

Define opportunity cost and comparative advantage, giving an example of each.

Opportunity cost is what you give up when you choose something, for example going to university instead of working full time. Comparative advantage is when a country can produce something more efficiently than another country, so it should specialise in that good and trade.

2. Question 2

Use a supply and demand model to analyse a binding rent ceiling in a city rental market, in the short run and the long run.

If the government sets a maximum rent below the market rent, demand for apartments increases and supply decreases, which causes a shortage. Some people who want to rent cannot find an apartment. In the long run the shortage gets bigger because landlords build fewer apartments.

3. Question 3

Evaluate the trade-offs between a rent ceiling and targeted housing vouchers.

Rent ceilings make housing cheaper for tenants, but they cause shortages. Vouchers give money to poor people to pay rent, which is fairer, but they cost the government money. I think vouchers are better.